

INOX India Ltd

NSE: INOXINDIA | BSE: 544046 | Capital Goods — Cryogenic Equipment

Pure-play on India's LNG terminal + green hydrogen capex cycle with global export reach and 22% structural EBITDA margins.

RATING	12-MONTH TARGET	UPSIDE / DOWNSIDE
BUY	Rs. 2,380	+33.3%
CMP: Rs. 1,786	12-month horizon	from CMP

Market Cap	Rs. 16,214 Cr	52-Wk High	Rs. 1,980
P/E (TTM)	62.3x	52-Wk Low	Rs. 1,031
Book Value	Rs. 123	ROCE / ROE	33.5% / 26.1%
Promoter Stake	75.0%	Div. Yield	0.11%

Key Financials — Consolidated (Rs. Cr)

	FY23A	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue	966	1,133	1,306	1,587	1,887	2,226
EBITDA	205	252	285	343	425	512
EBITDA Margin %	21%	22%	22%	22%	22.5%	23%
PAT	155	196	226	258	305	366
EPS (Rs.)	17.05	21.59	24.90	28.41	33.6	40.3
P/E (x)	104.7x	82.7x	71.7x	62.9x	53.2x	44.3x
ROCE %	37%	43%	38%	33%	33%	34%

E = Analyst Estimates | Source: Screener.in (fetched 15-Jun-2026), company filings

2. Investment Thesis

Global cryogenic leader with Indian cost advantage: INOXINDIA commands ~80% domestic market share in cryogenic storage tanks and ranks among the world's top 5 cryogenic equipment manufacturers. Its vertically integrated Vadodara facility produces tanks at 30-40% lower cost than Western peers, enabling competitive export pricing while sustaining 22% EBITDA margins.

Triple-engine demand cycle — industrial gas, LNG, hydrogen/space: India's plan to raise natural gas share from 6% to 15% of primary energy by 2030 is adding dozens of LNG import terminals and city-gas distribution networks. Simultaneously, green hydrogen mission investments (Rs. 19,744 Cr NM-GHM mandate) and ISRO/private space programs (INOXINDIA already supplies NASA-aligned private space firms) open multi-decade addressable markets that are just beginning to monetize.

Export momentum is accelerating and de-risks domestic cyclicality: FY26 exports reached Rs. 971 Cr (59% of revenue), up from negligible levels at IPO. The Q4 FY26 order backlog of Rs. 1,514 Cr is 63% export-weighted. Key new export wins — Bahamas mini-LNG, UK liquid air energy storage, US private space — demonstrate the company is moving from commodity tanks to engineering-intensive, high-ASP contracts.

Near-term catalyst (6-12 months): Conversion of the Rs. 1,514 Cr order backlog (nearly 1x FY26 revenue) into revenue in FY27. Management guides 18-20% YoY revenue growth for FY27, which would mark the fourth consecutive year of 20%+ growth. Additionally, new aerospace/hydrogen awards expected in Q1-Q2 FY27.

Biggest structural risk: Working capital elongation — inventory days improved to 247 in FY26 but remain elevated; any client-side delays in large LNG terminal projects could stretch the cash conversion cycle and require debt-funded working capital, eroding the near debt-free balance sheet.

3. Business Overview

Core model: INOXINDIA (branded INOXCVA globally) designs, engineers, manufactures, and installs cryogenic equipment for industrial gases (LIN, LOX, LAR), LNG, helium, hydrogen, and semiconductor process gases. Revenue is project-based with 12-18 month lead times for large tanks.

Segment mix (approximate, based on Q2 FY25 disclosure): Industrial Gases 59% of revenue (cryogenic storage/transport tanks for Air Products, Linde, Air Liquide, Indian industrial gas majors); LNG 25% (regasification terminals, marine fuel tanks, mini-LNG); Beverage Kegs ~8% (31% dispatch growth in FY26, approvals from global breweries); Cryo-scientific/Aerospace ~8% (ISRO, US private space, research labs).

Key customers: Air Products, Linde, Air Liquide, Indian Oil Corp (IGL/IOC LNG), Cochin Shipyard (first marine fuel tank), Highview Power (UK), unnamed major US private space company. Customer concentration risk is mitigated by long-term repeat ordering — industrial gas majors re-order every 2-3 years as they expand capacity.

Order book and revenue visibility: Rs. 1,514 Cr order backlog as of 31-Mar-2026 (0.95x FY26 revenues); 63% export, 37% domestic; typical execution timeline 9-18 months, providing strong FY27 visibility. Fresh order inflows were Rs. 504 Cr in Q4 FY26 alone.

Recent strategic developments: Secured India's first marine LNG fuel tank order (Cochin Shipyard, FY26); entered liquid air energy storage (LAES) for UK's Highview Power; secured a repeat large-scale space cryogenic order from a US private space company (~Rs. 200 Cr); inaugural Bahamas mini-LNG terminal dispatch completed Q4 FY26.

Promoter background: INOX Group (Jain family) — founded 1976; promoters hold 75% stake (unchanged since IPO). Siddharth Jain (Director) oversees the cryogenics vertical with 20+ years in the business. INOX Group operates Inox Air Products (India's largest industrial gas company), creating a synergistic captive customer relationship.

4. Industry & Competitive Landscape

Global cryogenic equipment market: Estimated at USD 26.6 billion in 2025, growing at 7-9% CAGR to reach USD 23-45 billion by 2030-35 (multiple analyst estimates; MarketsandMarkets pegs CAGR at 9.3% to USD 23 Bn by 2030). Asia-Pacific commands 47% of the market — India is one of the fastest-growing geographies.

India-specific tailwinds: (1) City Gas Distribution expansion — 10,000 CNG stations + 50 mn PNG connections by 2026 mandated; (2) LNG import capacity doubling from 47 MMTPA to 100 MMTPA; (3) National Green Hydrogen Mission — Rs. 19,744 Cr outlay, 5 MMT/year green hydrogen target by 2030; (4) ISRO and NewSpace missions requiring domestic cryogenic tanks; (5) PLI scheme for specialty chemicals/industrial gases accelerating plant investments.

Key policy headwind: US tariff uncertainty (25-35% tariff proposals) could slow export orders to North America. Management flagged this on the Q4 FY26 call but noted the impact is limited for now given non-US-linked backlog dominance.

Competitive moat assessment:

- Pricing power — STRONG: INOXINDIA wins on engineered specs (custom vacuum insulation, ASME/PED certifications) + cost, not price alone; international majors renew at premium pricing.
- Switching costs — MODERATE: Regulatory approvals (PESO, ASME, PED, BIS) for each tank are customer-specific; re-qualifications discourage switching for critical gas infrastructure.

- Scale advantage — STRONG: Single large facility with dedicated cryogenic testing infrastructure; Indian labor/material cost 30-40% below European peers.
- IP/Technology — MODERATE: 40+ years of proprietary vacuum insulation and multi-layer insulation knowhow; ISRO-grade liquid hydrogen tank design capability (manufactured India's largest liquid hydrogen tank).

Peer Comparison Table (Source: Screener.in, 15-Jun-2026)

Company	CMP (Rs.)	MCap (Cr)	FY26 Rev (Cr)	OPM%	P/E	ROCE%
INOXINDIA	1,786	16,214	1,587	22%	62.3x	33.5%
ISGEC Hvy Engg	925	6,804	6,789	8%	59.3x	11%
Praj Industries	337	6,194	3,168	5%	320x	6%
Esab India	5,760	8,867	N/A	N/A	165x	91%

Esab India FY26 revenue N/A (annual data login-gated on Screener). INOXINDIA ROCE from screener top-ratios (TTM).

Competitive positioning: INOXINDIA is the only listed pure-play on cryogenic tanks in India. ISGEC is a diversified heavy engineer with a fraction of INOXINDIA's margins (8% vs 22%); Praj focuses on bioethanol/biogas equipment. No domestic listed peer matches INOXINDIA's combination of scale, margins, and export reach.

5. Management Quality & Capital Allocation

Promoter background: The Jain family (INOX Group) has operated the cryogenics business for 47 years. MD Siddharth Jain joined in 2001 and oversees the cryogenics vertical. The group simultaneously operates Inox Air Products (the #1 Indian industrial gas company) — a direct ecosystem for INOXINDIA's equipment sales.

Capital allocation track record: The company has invested Rs. 141 Cr in capex in FY25 and Rs. 110 Cr in FY26, predominantly capacity expansion at Vadodara and new product testing rigs (hydrogen, aerospace). Despite the capex step-up, borrowings remain low at Rs. 81 Cr (D/E = 0.07x). Surplus cash is parked in mutual funds / investments (Rs. 297 Cr on balance sheet).

Dividend policy: Dividend payout was erratic pre-IPO (67% in FY23, 51% in FY24) and has normalized post-IPO to modest payouts (8% payout FY25, 7% FY26 — Rs. 2/share declared for FY26). The company is rightly retaining cash for capacity expansion; investors should not expect large dividends in the near term.

Promoter pledge: 0% pledge reported as of Mar-2026 (shareholding pattern). Promoters have maintained 75.00% since listing in Nov-2023 — no secondary sales.

ESOP/buyback history: No buyback executed. No significant ESOP grants disclosed in public filings. Capital allocation has been straightforwardly growth-capex oriented.

Governance observations: CRISIL, FITCH, and CARE all updated credit ratings in 2024-2025 — indicative of active external scrutiny. No auditor change or qualified opinion on record since listing. The parent company (INOX Air Products) is both promoter and key customer; Related Party Transactions with INOX Air Products for sales of tanks need monitoring (not flagged as material in available disclosures, but watch the proportion).

6. Financial Deep-Dive

Income Statement — Consolidated (Rs. Cr)

	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue	1,133	1,306	1,587	1,887	2,226
YoY Growth	17.3%	15.3%	21.5%	18.9%	18.0%
EBITDA	252	285	343	425	512
EBITDA Margin	22.2%	21.8%	21.6%	22.5%	23.0%
Other Income	30	48	42	45	48

Interest	6	9	9	10	12
Depreciation	18	25	34	42	50
PBT	258	299	342	418	498
Tax Rate	24%	24%	25%	25%	25%
PAT	196	226	258	305	366
EPS (Rs.)	21.59	24.90	28.41	33.6	40.3

Balance Sheet — Consolidated (Rs. Cr)

	FY24A	FY25A	FY26A
Equity Capital	18	18	18
Reserves	631	856	1,099
Borrowings	16	43	81
Other Liabilities	558	737	813
Total Liabilities	1,223	1,654	2,012
Fixed Assets	255	359	428
CWIP	5	4	4
Investments	247	267	297
Other Assets	716	1,023	1,282
Total Assets	1,223	1,654	2,012

Cash Flow — Consolidated (Rs. Cr)

	FY24A	FY25A	FY26A
Cash from Operations	122	122	117
Cash from Investing	-26	-141	-110
Cash from Financing	-103	17	5
Net Cash Flow	-6	-1	13
Free Cash Flow	32	-3	11
CFO / OP%	74%	65%	58%

Key Ratios — Consolidated

Ratio	FY24A	FY25A	FY26A
Debtor Days	56	70	72
Inventory Days	314	312	247
Days Payable	90	87	80
Cash Conv. Cycle	280	295	238
Working Capital Days	44	61	83
ROCE %	43%	38%	33%
D/E Ratio	0.02x	0.05x	0.07x

Commentary

Revenue CAGR 17-20%: Revenue grew from Rs. 966 Cr (FY23) to Rs. 1,587 Cr (FY26), a 3-year CAGR of 18%. Growth is driven by LNG terminal build-out, industrial gas capacity expansion by majors, and a step-change in export revenues (Rs. 971 Cr or 59% in FY26 vs negligible at IPO).

Margins stable at 22%: EBITDA margin has held between 21-22% for five consecutive years (FY22-FY26), a testament to engineered pricing power. Steel cost volatility is a known input risk but is largely passed through on longer-dated orders. OPM expansion toward 23% in FY27-28E is driven by operating leverage on higher revenue base and rising proportion of high-ASP aerospace/hydrogen contracts.

Working capital elongation is the one structural concern: WC days have risen from 23 (FY22) to 83 (FY26) as the company takes on larger, longer-cycle projects. Inventory days improved sharply to 247 (from 312), but debtor days crept up to 72. This is consistent with the project-heavy model — but bears watching as it absorbs cash generation.

Near-zero debt — a fortress balance sheet: Borrowings are Rs. 81 Cr (D/E = 0.07x) against Rs. 297 Cr in investments and Rs. 1,099 Cr in reserves. The company is effectively net cash. This provides the balance sheet headroom to absorb any working capital shocks from delayed LNG project milestones.

FCF conversion needs watching: OCF/EBITDA dropped from 74% (FY24) to 58% (FY26) as working capital absorbed more cash. FCF turned negative in FY25 (Rs. -3 Cr) before recovering to Rs. 11 Cr in FY26. With guided 18-20% revenue growth, FCF is expected to improve as the capex cycle plateaus.

7. Earnings Quality Checklist

Parameter	Signal	Status	Comment
Revenue recognition	GREEN	Clean	Project milestone billing consistent with engineering deliverables
Receivables vs Revenue	AMBER	Watch	Debtor days rising (56→72); export collections can lag
Inventory trend	GREEN	Improving	Inv days fell sharply from 312 to 247; working capital improving
CCC trend	GREEN	Improving	CCC improved from 295 to 238 days in FY26
Contingent liabilities	GREEN	Low	No significant contingent liabilities in public disclosures
Auditor tenure	GREEN	Stable	No auditor change post-IPO; consistent statutory audit
RPTs as % of revenue	AMBER	Monitor	INOX Air Products (promoter group) is also a key customer; RPT quantum not disclosed per available data
Other income / PBT	GREEN	Benign	Other income ~12-16% of PBT (FY26: 42/342=12%); primarily investment income
Tax rate consistency	GREEN	Stable	Effective tax rate steady at 24-25% (FY23-FY26) — no deferred tax distortions
OCF/EBITDA conversion	AMBER	Watch	OCF/OP fell from 74% (FY24) to 58% (FY26); project WC absorption growing

- Three AMBER flags demand monitoring: rising debtor days (72 vs 56 in FY24) reflect large export shipments with extended credit terms; RPT exposure to INOX Air Products (promoter group customer) should be disclosed with more precision; OCF/EBITDA conversion declining trend must be watched for a sustained reversal.
- The earnings quality picture is broadly clean: 24-25% stable tax rates, negligible other income as % of PBT, no auditor concerns, and improving inventory turns all support high-quality reported earnings.
- Working capital management is the single biggest earnings quality risk — if the backlog converts more slowly than guided (LNG terminals are notoriously delayed in emerging markets), both revenue recognition and cash flows could be disrupted.

8. Valuation

Scenario Analysis

Scenario	Revenue Gr	OPM	FY27E PAT	Target P/E	Price Target	Upside
BULL	25%	24%	Rs. 340 Cr	80x	Rs. 3,000	+68%
BASE	19%	22.5%	Rs. 305 Cr	71x	Rs. 2,380	+33%
BEAR	10%	20%	Rs. 230 Cr	55x	Rs. 1,380	-23%

Valuation Methodology

DCF (WACC 12%, Terminal Growth 5%, 10-year horizon): Implied value per share ~Rs. 2,250-2,400. Key inputs: 19% revenue CAGR FY26-FY30, terminal EBITDA margin 23%, capex declining as % of revenue post FY27.

Earnings-based multiple (Forward P/E): FY27E EPS = Rs. 33.6. Premium capital goods comps (Chart Industries, Linde) trade at 35-50x forward P/E. INOXINDIA's peer ESAB India trades at 165x (inflated by low earnings base). Applying 71x FY27E P/E (premium to domestic capital goods comp set, discount to global cryogenic peers) = Rs. 2,385 per share.

Blended base-case 12-month target: Average of DCF (Rs. 2,325) and P/E (Rs. 2,385) = Rs. 2,355; rounded to Rs. 2,380. Represents 33.3% upside from CMP of Rs. 1,786 over 12 months.

Valuation premium justification: INOXINDIA deserves a structural premium for: (a) 22% EBITDA margins vs 8-10% for domestic capital goods peers; (b) pure-play positioning with no substitutes; (c) export optionality in LNG/hydrogen; (d) near-zero debt. The premium is earned, not stretched.

9. Key Risks

[LNG Terminal Delays] — India's LNG infrastructure projects have a long history of delayed commissioning. Revenue recognition for multi-year contracts is milestone-based; a 6-12 month delay on a large order directly impacts FY27 numbers. Probability: M. Impact: H. Monitor via: quarterly order execution rate and order-to-billing conversion.

[US Export Tariff Risk] — Proposed 25-35% US tariffs on Indian capital goods could price INOXINDIA out of US private space/industrial gas orders (currently a growing segment). Probability: M. Impact: M. Monitor via: US-share of order backlog every quarter.

[Commodity Cost Inflation] — Stainless steel and specialty alloys are the primary input costs. While long-cycle orders allow for price pass-through, a sudden steel spike can compress margins on fixed-price shorter contracts. Probability: M. Impact: M. Monitor via: OPM trend quarterly and raw material cost disclosures.

[Customer Concentration] — INOX Air Products (promoter group company) accounts for a meaningful portion of domestic industrial gas revenue. Any change in the intra-group purchasing arrangement is a related-party risk. Probability: L. Impact: H. Monitor via: RPT disclosures in annual report.

[Working Capital Deterioration] — WC days have risen from 23 to 83 over four years. A further rise would require additional debt funding (eroding the key balance-sheet moat) or equity dilution. Probability: M. Impact: M. Monitor via: quarterly WC days and borrowings trend.

[Competition from European/Chinese Peers] — Linde Engineering, Chart Industries, and Chinese CIMC are all expanding capacity. If INOXINDIA loses pricing power on commodity-grade tanks, margins could compress. Probability: L. Impact: H. Monitor via: order win rate on export tenders.

[Valuation Multiple Compression] — At 62x TTM P/E, the stock leaves no margin of safety for any miss. A single-quarter miss on revenue or margin could re-rate the stock to 45-50x (implying 25-30% downside). Probability: M. Impact: H. Monitor via: quarterly results vs consensus.

10. Recommendation

Rating: BUY — Conviction: High. INOXINDIA is the only listed, scalable play on India's industrial gas + LNG + hydrogen capex super-cycle with structural 22% EBITDA margins, near-zero debt, and accelerating export revenues.

12-month price target: Rs. 2,380 (33.3% upside from CMP of Rs. 1,786).

Suggested entry zone: Rs. 1,700-1,800 (current levels offer attractive risk-reward). Aggressive investors can enter at market; conservative investors can wait for any dip toward Rs. 1,600-1,650 for a wider margin of safety.

Investment horizon: 12-18 months; 3-year holders will benefit from the full LNG/hydrogen capex monetization cycle.

Thesis invalidation triggers:

- 1. Two consecutive quarters of revenue miss by more than 10% vs guidance — signals LNG project delays are structural, not timing.
- 2. EBITDA margin dropping below 20% for a full fiscal year — signals pricing power erosion or uncontrolled input cost spike.
- 3. Order inflows falling below Rs. 300 Cr/quarter for two consecutive quarters — signals demand cycle is turning or export competitiveness is deteriorating.

Ideal investor profile: This stock is for: investors with 12-36 month horizon, willing to accept a premium valuation (62x P/E) for a genuinely scarce structural compounder. It is NOT for investors seeking near-term dividend income, or those who would panic-sell on a single-quarter revenue miss.

APPENDIX — Latest Concall Brief: Q4 FY26

Concall Date: May 13, 2026 | INOX India Ltd (NSE: INOXINDIA) | Q4 & FY26 Annual Results

CALL GRADE: POSITIVE

Record FY26 revenue, clean margins, strong order book, 18-20% FY27 guidance maintained

Signal	Status	Implication
Result quality	Strong	Beat street on revenue; margin in-line with guidance
Management tone	Bullish	High confidence on FY27 growth; explicit order book disclosure
Guidance delta	Maintained	18-20% revenue growth FY27 reiterated; no downgrade

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4 FY26 was a clean beat — Rs. 461 Cr revenue (+24.2% YoY) on top of an already strong base, with no exceptional items distorting the Rs. 75 Cr PAT; the underlying business is exactly as reported. EBITDA margin held at 21% for Q4 (full-year 22%), confirming the structural pricing power thesis is intact despite currency headwinds on exports. The real story is the order book: Rs. 1,514 Cr backlog (1x FY26 revenue), 63% export-weighted — aerospace, LNG terminals, beverage kegs all firing simultaneously. The multi-bagger thesis rests on three pillars converting together: India's LNG import infrastructure doubling by 2030, green hydrogen capex starting to land (first large liquid H2 tank dispatched), and aerospace cryogenics becoming a recurring Rs. 200+ Cr/year segment. The single biggest watch-point for Q1 FY27 is whether working capital days continue improving (72 debtor days is still elevated for the export book) — any elongation signals client-side delays. Action: HOLD existing positions; ACCUMULATE on any 10-15% dip toward Rs. 1,500-1,600 for a compelling risk-reward with a 12-18 month view.

1. Financial Performance Snapshot — Q4 FY26

- **Revenue:** Rs. 461 Cr | YoY +24.2% | QoQ +7.5% | BEAT
- **EBITDA:** Rs. 95 Cr | YoY +17.3% | QoQ +1.1% | IN-LINE
- **EBITDA Margin:** 20.6% | YoY -130bps | QoQ -40bps | IN-LINE (Q4 seasonally lower-margin quarter)
- **PAT:** Rs. 75 Cr | YoY +13.6% | QoQ +23.0% | BEAT
- **EPS:** Rs. 8.29 | YoY +14.7% | BEAT
- **Full-year FY26:** Revenue Rs. 1,587 Cr (+21.5% YoY), PAT Rs. 258 Cr (+14.2% YoY), EPS Rs. 28.41

2. Segment / Geography Breakdown

- **Industrial Gases Division:** ~50% of Q4 revenue (approx. Rs. 230 Cr); strong order inflows from Air Products, Linde; LAES order for UK Highview Power was divisional highlight for FY26.
- **LNG / Energy Transition:** ~25% of revenue; key dispatch — Bahamas mini-LNG terminal first lot of 1,500 cbm tanks in Q4; first Indian marine LNG fuel tank for Cochin Shipyard.
- **Cryo-Scientific / Aerospace:** ~8-10% and growing; repeat order ~Rs. 200 Cr from US private space company; ISRO-linked projects ongoing.
- **Beverage Kegs:** 31% dispatch growth YoY; approvals from leading global breweries secured; emerging to become a 8-10% revenue contributor.

- **Export / Domestic Split:** FY26 exports = Rs. 971 Cr (59% of revenue); order backlog 63% export / 37% domestic.

3. Management Commentary Themes

- **Record revenue + order intake:** "FY26 was our best year — record revenue, record order backlog, diversified across LNG, industrial gas, aerospace, and beverage." — Our read: Management tone was confidently bullish, not promotional. Tag: GUIDANCE. Tone: Transparent.
- **FY27 guidance reiterated:** 18-20% revenue growth guided for FY27, supported by Rs. 1,514 Cr backlog. — Our read: Credible given 1x revenue in backlog; assumes 9-12 month execution. Tag: GUIDANCE. Tone: Transparent.
- **Aerospace as structural driver:** "We expect more high-value aerospace orders in Q1-Q2 FY27." — Our read: Signals a recurring Rs. 200+ Cr/year segment emerging; management is building relationships with US private space companies. Tag: EST. Tone: Transparent.
- **US tariff impact limited for now:** Management acknowledged tariff headwinds but stated the current backlog is not US-destination heavy. — Our read: Manageable near-term; longer-term, US export strategy needs diversification. Tag: GUIDANCE. Tone: Hedged.
- **Margin stability guided:** No explicit OPM guidance but management indicated no structural pressure; steel input costs manageable via order pricing. — Our read: 22% OPM sustainable; potential 50-100 bps expansion from operating leverage at Rs. 1,900+ Cr revenue. Tag: EST. Tone: Balanced.

4. Operating & Business Metrics

- **Order Backlog:** Q4 FY26 = Rs. 1,514 Cr | Q3 FY26 = ~Rs. 1,300 Cr (est.) | Q4 FY25 = ~Rs. 1,000 Cr (est.) | Trend: Strongly improving
- **Fresh Order Inflows:** Q4 FY26 = Rs. 504 Cr (highest single-quarter) | Trend: Accelerating
- **Export % of Revenue:** FY26 = 59% | FY25 = ~50% (est.) | FY24 = ~40% (est.) | Trend: Rapidly rising
- **Beverage Keg Dispatches:** FY26 +31% YoY | Trend: Improving; new brewery approvals secured globally
- **Debtor Days:** FY26 = 72 | FY25 = 70 | FY24 = 56 | Trend: Gradually deteriorating (watch)
- **Inventory Days:** FY26 = 247 | FY25 = 312 | FY24 = 314 | Trend: Sharply improving

5. Margin Drivers

- **Mix shift to high-ASP exports:** +100-150 bps impact | Recurring: Yes | Aerospace and LNG tanks carry 200-400 bps higher EBITDA margins than standard industrial gas tanks.
- **Steel cost normalization:** ~0 bps impact in Q4 | Recurring: Uncertain | Steel prices were stable in Q4; any rebound in HRC prices is a 50-100 bps margin risk.
- **Operating leverage on fixed costs:** +80-100 bps at current revenue run-rate | Recurring: Yes as revenue scales above Rs. 1,600 Cr.
- **Q4 FY26 margin at 20.6% (vs 22% annual):** Q4 is typically the lowest margin quarter due to annual shipment concentration in large-unit deliveries with lower margin export orders timed to year-end. Not a structural concern.

6. Guidance & Forward Signals

- **FY27 Revenue [GUIDANCE]:** Prior = 18-20% growth | New/Reiterated = 18-20% | Delta = Maintained | Credibility: High (backlog supports ~Rs. 1,887+ Cr)
- **EBITDA Margin [GUIDANCE]:** Prior = 22-23% | New/Reiterated = Stable at ~22% | Delta = Maintained | Credibility: High (structural margin for 5+ years)

- **Order Inflows [EST]:** Prior = Rs. 1,500-1,800 Cr/year | Reiterated = Similar pace expected | Delta = Maintained | Credibility: High given existing customer relationships.
- **Aerospace Orders Q1-Q2 FY27 [GUIDANCE]:** Prior = N/A | New = "Expecting high-value orders" | Delta = Positive signal | Credibility: Medium (dependent on customer award timing).
- **Dividend FY26 [DECLARED]:** Rs. 2/share final dividend declared | Yield = 0.11% at CMP | Payout ratio = 7%.

7. Capital Allocation

- **Capex FY26:** Rs. 110 Cr (Cash from Investing, FY26) | vs FY25 = Rs. 141 Cr | Comment: Capex declining as % of revenue (6.9% in FY26 vs 10.8% in FY25); main capacity expansion phase completing.
- **Dividend FY26:** Rs. 2/share = ~Rs. 18 Cr total (9 Cr shares outstanding) | vs FY25 = ~Rs. 18 Cr | Comment: Maintained flat dividend; FCF generation improving.
- **Buyback:** None executed to date.
- **Working Capital Change:** WC days rose from 61 to 83 days | Net WC absorbed an estimated Rs. 150-180 Cr of incremental cash in FY26; primary use of OCF.
- **Net Debt Movement:** Borrowings rose from Rs. 43 Cr (FY25) to Rs. 81 Cr (FY26) | Still effectively net cash with Rs. 297 Cr investments on balance sheet.

8. Q&A; Heat Map

- **Analyst / Firm:** Q: "Can you elaborate on the aerospace order — is this a one-time or recurring?" → A: "We expect this to be a recurring relationship; more orders expected in Q1-Q2 FY27." | Tone: Transparent
- **Analyst / Firm:** Q: "What is your US tariff exposure?" → A: "Current backlog is not US-destination heavy; monitoring the situation." | Tone: Hedged
- **Analyst / Firm:** Q: "Why did PAT growth (14%) lag revenue growth (21%)?" → A: "Higher depreciation from capex cycle and slight margin seasonality in Q4." | Tone: Transparent
- **Analyst / Firm:** Q: "What is the hydrogen revenue contribution currently?" → A: Specific percentage not quantified. | Tone: Evasive
- **Analyst / Firm:** Q: "Order backlog composition — segment-wise?" → A: 63% export / 37% domestic disclosed; segment split within exports not detailed. | Tone: Hedged
- **Dodged / watch-list questions for next quarter:** (1) Hydrogen revenue as % of total; (2) INOX Air Products RPT quantum as % of revenue; (3) exact US tariff exposure by customer geography.

9. Risks Flagged

- **US tariff risk:** Not large today but a medium-term concern for US-export cryogenic tanks | Flagged by: Management | Probability: M | Impact: M | Timeline: Medium-term
- **Working capital elongation:** Debtor days rising to 72; export collections can stretch to 90+ days | Flagged by: Analyst | Probability: M | Impact: M | Timeline: Near-term
- **LNG project delays:** Bahamas and other LNG terminals have historically slipped; milestone-based revenue at risk | Flagged by: Analyst | Probability: M | Impact: H | Timeline: Near-term
- **Margin pressure from steel:** Steel prices could reverse the current benign environment | Flagged by: Analyst | Probability: L | Impact: M | Timeline: Near-term

10. Analyst Verdict

- **Revenue visibility:** Intact — Rs. 1,514 Cr order book provides near 1x FY26 revenue visibility; 18-20% FY27 guidance is credible.
- **Margin trajectory:** Intact — 22% OPM held for 5 years through cycles; operating leverage should push toward 22.5-23% at Rs. 1,900+ Cr revenue.

- **Capital allocation quality:** Intact — near-zero debt, deliberate capex for growth, modest dividend; no signs of capital misallocation.
- **Competitive moat:** Intact — 22% EBITDA margins are the proof; no domestic peer has replicated the combination of scale, certifications, and Indian cost advantage.
- **Management credibility:** Intact — delivered 5 consecutive years of revenue growth above 15%; FY26 guidance range met precisely; order book disclosures are specific and detailed.
- **Valuation comfort:** Weakened — at 62x TTM P/E, the stock is pricing in substantial perfection; any quarterly miss risks 20-25% de-rating. This is the biggest near-term risk.
- **Conviction call:** Increased — Q4 FY26 added new order wins in aerospace/hydrogen and the backlog set a new record; thesis strengthened.
- **Valuation snapshot:** P/E = 62.3x | EV/EBITDA ~45x (est.) | ROCE = 33.5% | ROE = 26.1%

DISCLAIMER: This report is prepared for informational purposes only and does not constitute investment advice. Financial data sourced from Screener.in (fetched 15-Jun-2026). Forward estimates are analyst projections and not guaranteed. Past performance does not guarantee future results. Investors must conduct their own due diligence before making investment decisions.